

Cover story **SATYAM SCANDAL**

member Parekh, the option of a merger for India's embattled Satyam Computer Services was always open. Though no company has come out with an open expression of interest in merging with Satyam, a name being tossed around is iGate Corp, a US-based computer services provider with operations in India and a good, strong management team.

In fact, Satyam may not actually be around in the next couple of weeks, going by the excitement in the market, says a JP Morgan official. The theory is that with about 550-600 clients and revenues of \$2-2.5 billion, the business could be worth the while for other IT companies. A growing queue of suitors for Satyam since the confession from Raju, has only added currency to an acquisition. The line-up includes HCL

with a mandatory change of auditors every three years so that a firm does not get to deal with the same company's books for at least six years, suggests Baljit Kalha, partner, Titus and Company, a law firm.

Ved Jain, president, Institute of Chartered Accountants of India, which has issued a notice to Price Waterhouse, thinks it is important for the Reserve Bank to appoint auditors in public sector banks, private banks, insurance companies and mutual funds. While this has generally been the norm, the Ministry of Finance had, a year back, allowed the boards of directors of all banks to select their own auditors, making it a highly risk-prone system. "Banks are public interest entities with public deposits.



53,000 EMPLOYEES SUDDENLY FIND THEMSELVES IN A NEARLY BANKRUPT COMPANY. OVER 15,000 RESUMES ARE ALREADY OUT; MORE WILL FOLLOW.

Technologies, Wipro, IBM, Hewlett-Packard, Larsen & Toubro Infotech, Cognizant, Cap Gemini and Tech Mahindra, the Pune-based software-services company.

For auditors, there is the bigger question of their credibility, given the speculation over the role of Price Waterhouse, the auditor of Satyam, in abetting the fraud and which now now possible blacklisting. The fraud has raised serious questions on the entire due diligence process conducted by not just Price Waterhouse, but other firms and practitioners as well. The fire-fighting here has to begin

What if a fraud of this size happened in any public sector bank," wonders Jain. Vishesh C. Chandiok, partner, Grant Thornton compares the high level of vigilance in the US, which has a system of review of audits by independent regulators, to the appalling laxity on such matters in India. The Quality Review Board set up for this purpose some years ago is still debating on its role even as some 50-odd Satyams may be waiting to happen.

"In the last five years there has been a change in the manner of wealth creation across the world," said Raju at the 2008 India Economic Summit. The context then was gains of globalisation but his words ring out ironically today. Raju was right, but there has also been a change in the way creation of wealth is monitored around the world. It is time India demonstrates that it has fallen in line with those standards if it wants no more Satyams.